TG007 Project Management

S04 Project Selection & Prioritization

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Key Concepts from the last Session

Group discussion

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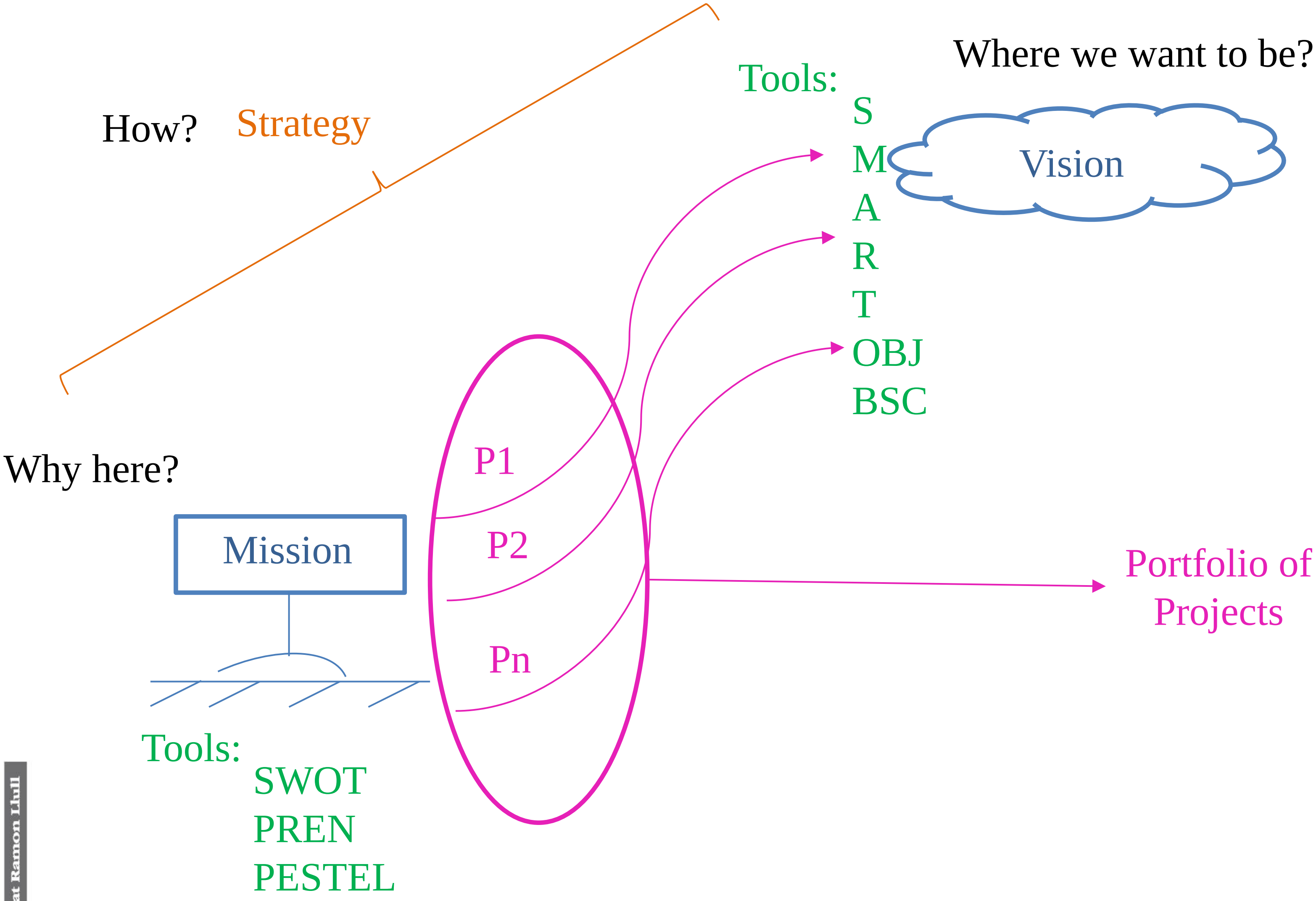

Project Generators

P Political	E Economic	S Social	T Technological	E Environmental	L Legal
It represents the government policies (of each country where the company is located, its subsidiaries or where the projects are going to be carried out) at the local, regional, national and international level that directly affect the company or enterprise.	In this aspect, macro factors of the economy are observed according to the country where our business is located and where the projects want to be carried out. Factors such as GDP, interest rates, unemployment, exchange rates, accessibility to resources, level of economic development, inflation, etc., which can directly affect the execution of company plans, strategies and campaigns.	Factors in terms of culture, educational level, religion, beliefs, consumption habits, etc., that can add value to projects or affect them. It is important to consider the social trends that directly affect the business strategy.	The factors in this section are those that are closely associated with the evolution of technology. The speed with which the development and advancement of technology in the modern world makes the company, enterprise or project quickly fall into obsolescence or the digital divide. Another aspect to take into consideration is the technological transfer that goes hand in hand with the continuous learning that must be had for the installation, use and application of the technology.	These factors are closely linked to the conservation of the environment. The decline of raw materials Pollution and green house gas emissions Promoting positive business ethics and sustainability	These factors are directly related to the legislation of the country where the company is located or where it will carry out its projects. Objective: establish organisational and legal requirements and possible constraints Determine organisational structure, personnel qualifications and skills Determine administrative requirements (specialized software)
Government policy		Objective: to determine the market sensibility to the proposed project outcomes			

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Project Generators

SWOT			PREN	
(S1.)		internal --->	(P1.)	
(S2.)		internal --->	(P2.)	
(S3.)		internal --->	(P3.)	
(S4.)		internal --->	(P4.)	
(W1.)		internal --->	(R1.)	
(W2.)		internal --->	(R2.)	
(W3.)		internal --->	(R3.)	
(O1.)		external --->	(E1.)	
(O2.)		external --->	(E2.)	
(O3.)		external --->	(E3.)	
(O4.)		external --->	(E4.)	
(T1.)		external --->	(N1.)	
(T2.)		external --->	(N2.)	
(T3.)		external --->	(N3.)	
(T4.)		external --->	(N4.)	

SWOT			PREN	
(S)trength	INTERNAL	→	**(P)lay**	INTERNAL
(W)eakness	INTERNAL	→	**(R)educe**	INTERNAL
(O)portunity	EXTERNAL	→	**(E)nhace**	EXTERNAL
(T)hreat	EXTERNAL	→	**(N)eutralize**	EXTERNAL

Objectives

SMART STRATEGIC OBJECTIVES

S (Specific)	M (Measurable)	A (Achievable)	R (Relevant)	T (Time-bound)
•What do I want to accomplish? •Why is this goal important? •Who is involved? •Where is it located? •Which resources or limits are involved?	•How much? •How many? •How will I know when it is accomplished?	•How can I accomplish this goal? •How realistic is the goal, based on other constraints, such as financial factors?	•Does this seem worthwhile? •Is this the right time? •Does this match our other efforts/needs? •Is it applicable in the current socio-economic environment?	•When? •What can I do six months from now? •What can I do six weeks from now? •What can I do today?

SMART Objective Example:

- Increase the sales of product line A in Latam by 10% year-on-year for 3 years.
- Reduce our carbon footprint by 5% in the period 2021-2023.

1. Pre - Assessment

Project Pre – Assessment: ***(Project Idea name)***	
Profile Pre-Assessment: *(Based on common sense and experience, They are a high level estimations on income and costs)*	Approved Idea: *(YES/NO)* Justification: *(a brief explanation of the result)*
Feasibility: *(Based on secondary sources of information to establish other variables, as: market, investment capacity, financial resources, etc. More detailed.)*	

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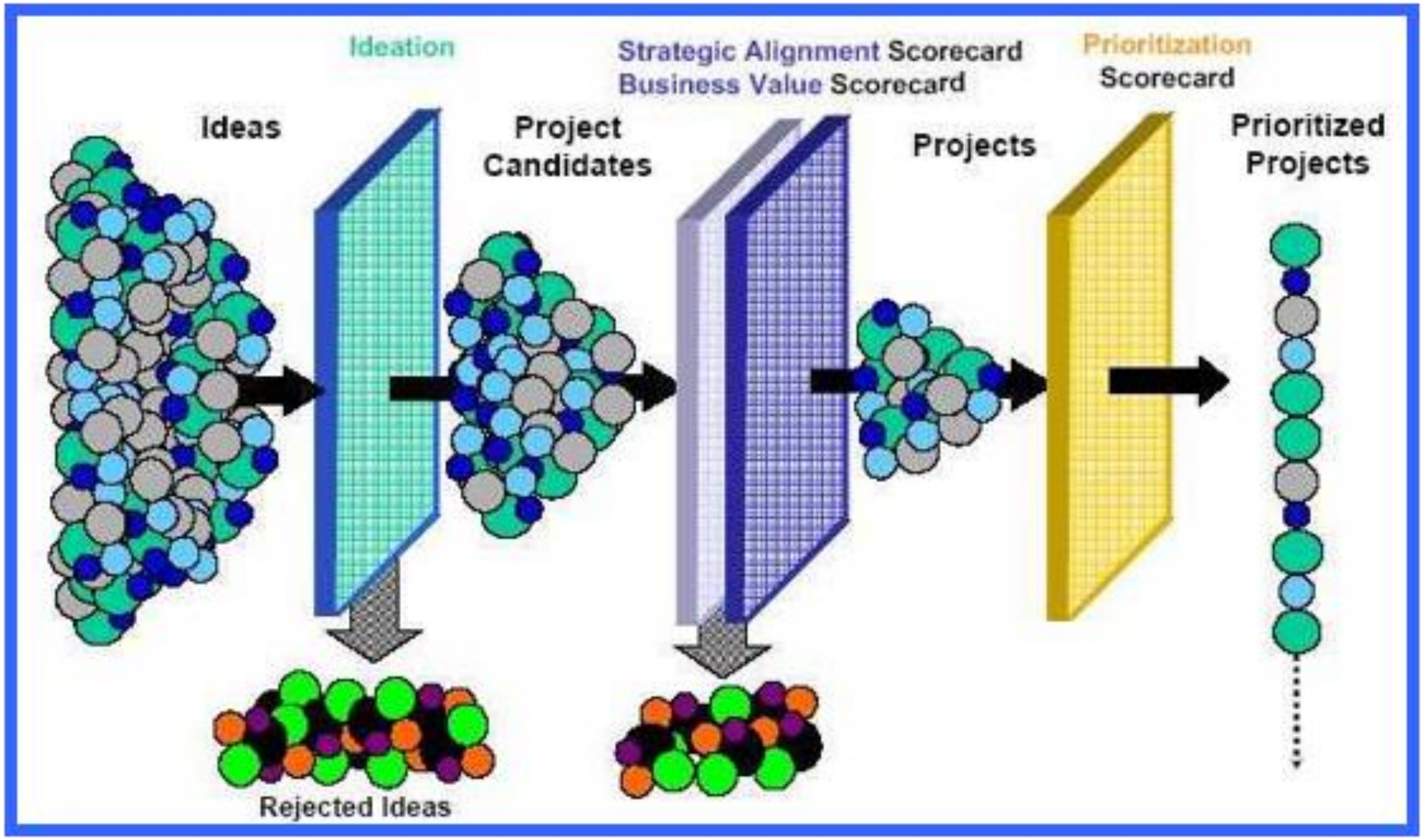

Project Selection & Prioritization

Objectives

- Comprehend the project selection process.
- Analyze and appraise projects from both a macro and micro perspective.
- To provide students with a tool for prioritising and selecting projects
- To enhance Decision-Making with Analytical Tools

Project Selection & Prioritization

1.2 Analyze and appraise projects from both a macro and micro perspective.

Project Assessment Process

- Process by which different projects are assessed and evaluated
- Objective: selection of projects to carry out

1. **Pre-assessment**: high level assessment of project concepts
2. **Assessment**: more detailed studies

Pre – Assessment & Assessment

1. Pre-Assessment

2. Assessment

Triple Restriction

Studies for Project Assessment

- Objectives: each one is to provide the necessary information to evaluate the financial viability of the investment
- The detail and depth achieved in each of these studies will depend on the project characteristics.
- If any of the above studies reaches a negative conclusion, the project will not be carried out the way it's conceived

Project Assessment					
Preparation					Evaluation
Technical	Market	Legal	Organisational	Financial	

Studies for Project Assessment

- Are they all necessary?
- Which one is more important?
- If project is financially viable, should it always be given the go ahead?

Project Assessment					
Preparation					Evaluation
Technical	Market	Legal	Organisational	Financial	

Studies for Project Assessment

- **Market study**: determines whether the market is sensitive to the product or service delivered by the project
- **Technical study**: determines the physical and material requirements, conditions and alternatives of producing the product or service
- **Legal study**: determines the legal restrictions (ex. limitations on location, transport, taxes, use)
- **Organisational study**: determines the capabilities and capacity of the organisation to carry out the project
- **Financial study**: determines financial profitability of the investment

Market Study

- Objective: to determine the market sensibility to the proposed project outcomes
- Analysis of supply and demand
- Determines price of products/services (if price too high, demand will decrease, affecting the project income)
- Determines strategy of placement and distribution (affects project costs)
- Determines marketing strategy (affects project costs and cash flow)
- Determines sales policy
- Analysis of competitors
- All these decisions will affect investment, costs and income of the project

Technical Study

- Objective: gather information to quantify the amount of investment required
- Choice of alternatives from a technical point of view might be different to the one based on the financial assessment
- Establishes which production process will optimise available resources
- Determines investment and resource requirements (labour and materials), both quantitative and qualitative (how many and to what level of specialisation and knowledge)
- Also will determine other requirements (spatial), maintenance, repairs and replacement
- Important to consider size and location of alternatives

Legal and Organisational Studies

- Objective: establish organisational and legal requirements and possible constraints
- Determines organisational structure, personnel qualifications and skills
- Determines administrative requirements (specialised software)
- Determines outsourcing alternatives
- Determine the influence that administrative processes have on investment and costs of projects
- Legal aspects can influence on location (increased transport costs), taxes (decreased of net profit), requirements of permits and licences (increased costs)

Financial Study

- Objective: collect and analyse all monetary information gathered in all previous studies
- Establish current baseline against which information will be analysed
- Determine investment requirements, financing needs and sources, costs and income, cash flow needs
- Evaluation is measured based on different criteria that complement each other

Assessment Overall evaluation

- Once the quantitative evaluation of the project is completed, we must take into consideration two further studies:
  - Sensibility analysis
    - Incorporates the risk factor
    - No assurance of all information gathered and analysed
  - Analysis and interpretation of results
    - Qualitative analysis
    - Includes all those elements not quantifiable that can influence the decision accepting or rejecting the project

2. Assessment

- Two parts:
  - Preparation – information gathering
  - Evaluation – objective to assess the viability of the project

Project Assessment: ***(Project Idea Name)***					
Preparation (Relevant Information): *(information gathering)*					Project Evaluation: *(Quantitative evaluation, on scale between 1-10 or 1-5, p.e)*
Technical (*)	Market (*)	Legal (*)	Organisational (*)	Financial (*)	

Project Selection & Prioritization

1.3 To provide students with a tool for prioritising and selecting projects

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Project selection methods

Project selection methods

- Qualitative – Scoring methods
  - Questionnaires, checklists
  - Selection / Prioritisation Matrix
- Quantitative (financial calculations)
  - Payback period
  - Discounted cash flow
  - Cost-benefit analysis
  - Internal rate of return
  - Return of investment

Project Selection Methods

- Usually financial calculations carry the most weight
- Scoring models use models that score project goals against a pre-determined criteria
- Combination of financial calculations and scoring methods gives a clearer picture on what project to choose
- These methods are also used to prioritise projects. Financial calculations and scores can be used to rank projects in the order of most profitable, highest return or greatest potential for market penetration
- Neither of these methods are indicators of project success
- Success comes from good project planning and methodical management processes

Other Selection Criteria

Besides scores and financial calculations, other factors should be considered

- Strategic Plans
  - All projects should be aligned with the organisation's strategy
  - Example: small pharmaceutical company that researches and develops medications for blood disease. Even if a project to develop high-fever medication makes market sense, the project is not aligned with the company's focus
- Risks and Impacts
  - Financial, bad publicity, product flops…
- Constraints
  - Pre-established organisational restrictions (no projects in excess of a budget or time period, pre-established limits on the resources)

1.4 To enhance Decision-Making with Analytical Tools

Weighted selection-scoring model

- Example:

  Weights have been assigned to the criteria according to the goals of the company. Points are assigned 1 – 5.

Weight	Rating criteria	Points 1- 5	Score
25%	Business problem appropriately addressed or resolved	5	1,25
25%	Customer satisfaction easily achieved	3	0,75
20%	Profit potential	5	1
15%	Marketability	4	0,6
15%	Easily produced or supported	2	0,3
	Total score		**3,9**

Weighted selection-scoring model

- Example:

Weight	Rating criteria	P1		Pi	
		Points 1- 5	Score	Points 1- 5	Score
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20%	Profit potential	5	1		
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	Total score		**3,9**		

Wrap Up

- Project Selection: Steps involved in assessing and evaluating project opportunities from both a high-level and detailed perspective.
- Assessment Frameworks: The Pre-Assessment phase provides a preliminary screening of project ideas, while the Assessment Phase involves deeper studies to determine feasibility and alignment with strategic goals.
- Evaluation Studies: Approach includes Market, Technical, Legal, Organizational, and Financial studies to ensure a project's viability and impact.
- Selection Methods: Various qualitative and quantitative methods such as scoring models, financial calculations (NPV, IRR, payback period), and prioritization matrices help in making data-driven decisions.
- Strategic Alignment & Risk Considerations: Beyond financial returns, projects should align with organizational strategy, manage risks effectively, and adhere to constraints like budget and time limitations.
- Decision-Making Tools: The Weighted Selection-Scoring Model is an effective way to compare and prioritize projects based on multiple criteria.

Project Selection

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